September 19, 2025

Authors: David Duong, CFA and Colin Basco

Market View

Dovish Fed cut. The Federal Reserve delivered a dovish 25bps rate cut at the FOMC meeting on September 17, in line with consensus expectations, while signaling two additional cuts later this year - consistent with our view. It was notable that despite their prior dissents in July, both Governors Bowman and Waller supported the incremental move, joining the majority on the Committee, while Miran dissented in favor of 50bps. The updated dot plot points to one further cut in 2026, with the median Fed funds rate projected at 3.4%. Staff forecasts now anticipate unemployment rising to 4.5%, PCE inflation rising to 3% YoY, and GDP growth revised up modestly to 1.6% YoY, with downside risks to employment flagged as a growing concern. **In our view, current conditions support a risk-on stance in markets—at least until further data emerges which may introduce additional nuance to the Fed's forward guidance.**

In a related note, an interesting development this week was recent Fed board appointee Stephen Miran's statement that the Fed has a third mandate to pursue "moderate long-term interest rates." We think this perspective recontextualizes the administration's recent comments about exploring potential public offerings for Fannie Mae and Freddie Mac. Since February, there have been increasing indications that the administration is interested in influencing longer-end bond yields to stabilize borrowing costs for mortgages and business loans. All of this could be laying the groundwork for more direct intervention in housing and other areas contributing to economic friction.

Is the DAT narrative shifting? Last week we wrote about the compression in mNAVs (the ratio of market value to net asset value) for digital asset treasury companies and discussed some of the latest developments on our podcast. A recent article by The Block reported that a quarter of bitcoin DATs now have an mNAV below 1, shaking confidence in the sustainability of this trend. That includes KindlyMD (Nakamoto Holdings) which this week saw its market cap decline by 96% from its peak. Nakamoto had been making waves lately for investing in other DATs, notably buying shares of Metaplanet.

On the other hand, there are still many DATs getting funded, including this month alone:

- Eightco (ticker: ORBS, a DAT dedicated to buying Worldcoin's WLD),
- Forward Industries (ticker: FORD, a Solana DAT backed by Jump Crypto, Galaxy Digital and Multicoin) and
- Helius (ticker: HSDT, a Solana DAT backed by Pantera and Summer Capital).

Such vehicles are still driving their underlying tokens directionally higher, despite rising concerns about the DAT cycle. As we said last week, we think speculative premiums for these companies can reappear if the crypto market regains momentum, though it's very likely that we're much closer to the end than the beginning of the DAT cycle.

Ethereum deep dive

Demand-side metrics for ETH are improving while ETH supply immediately available for sale looks tight. Stablecoin supply on Ethereum is accelerating with strong positive 30-day momentum, while ETF flows remain net-positive—both signals that new purchasing power is arriving (Charts 1 and 2).

Chart 1. Ethereum stablecoin supply momentum

Chart 2. Ethereum ETF net flows

Meanwhile, cross-chain bridge flows have stabilized with intermittent inflows, pointing to a gradual re-aggregation of activity back toward Ethereum settlement (Charts 3).

Chart 3. Ethereum bridge flows

At the same time, 30-day exchange net flows are deeply negative, implying coins continue to move away from order books, which mechanically reduces near-term sell pressure even as the composition of the float shifts—smart-contract balances have been trending lower, suggesting some rotation out of DeFi wrappers but not necessarily back onto exchanges (Charts 4 and 5).

Chart 4. 30 day exchange net position change

Chart 5. 90 day change in Ethereum supply locked in smart contracts

We view the validator exit-queue spike as an idiosyncratic, Kiln-driven event that limits sellable supply now but may create uncertain pressure later. After a partner-API compromise linked to SwissBorg's staked-SOL exploit, Kiln chose to exit all ETH validators as a precautionary measure and return the ETH to (its primarily institutional) customers, though Kiln has not reported any ETH losses. This idiosyncratic action—not a system-wide shift in staking risk appetite—pushed the exit queue sharply higher and extended wait times (to 45 days), but the queued ETH remains illiquid until completion, muting immediate sell pressure (Chart 6). Because the surge originates from a single provider's precautionary exits, we think it resembles concentrated operational churn rather than a system-wide change in staking risk appetite. Until exits finalize, that inventory is not sellable and therefore does not add to immediate float.

If the exited ETH is restaked or returned to institutional custody, we think the effect will be largely neutral. But, if a meaningful share moves to exchanges, the market inherits a new pocket of potential supply. Even if the mechanical supply path proves neutral, we think **a perception effect could still weigh on ETH** as allocators price in higher operational or counterparty risk and demand a higher risk premium. In a selloff, that caution can become self-reinforcing: a large staked base can clog exit queues and stretch redemptions—effectively forcing sales at unfavorable prices.

Chart 6. Ethereum exit queue rises due to Kiln pressure

Positioning supports upside drift but raises fragility to shocks. Open interest for ETH perpetual futures sits near cycle highs with persistently positive funding, signaling a long-biased leverage regime that can fuel trend continuation yet amplifies liquidation risk around negative catalysts (Chart 7). Options markets echo this balance: the one-month 25-delta skew is modestly put-rich (albeit down from last week) while the six-month skew is closer to flat (and falling), indicating near-term event hedging alongside a more neutral medium-term stance—**conditions that we think support a "buy the dip" environment** (Chart 8).

Chart 7. Ethereum open interest versus perpetual funding rates

Chart 8. Ethereum option 25-delta put-call skew

Overall valuation reads warm but not euphoric, leaving outcomes sensitive to the tug-of-war between new demand and supply. The MVRV Z-score compares ETH's market value to its onchain "cost basis" (realized value) and scales that gap by its own historical volatility—a cycle-temperature gauge of how far price sits above what holders effectively paid. Today, it sits in warm territory: holders show profits, but the reading is still below prior blow-off extremes (Chart 9). From here, we think three levers may likely steer the path: (i) macro liquidity—we are constructive as broader liquidity conditions improve risk appetite; (ii) asset-specific liquidity—we are also constructive, with expanding stablecoin float and net-positive recent spot ETF flows; and (iii) derivatives positioning—this is still elevated, which can sharpen pullbacks if positions unwind, though we think the overall mix still resembles a “buy-the-dip” regime rather than a late-cycle blow-off.

Chart 9. Ethereum MVRV Z-score

Base token?

Base is beginning to explore a native network token. A token has the potential to advance decentralization and expand creator and developer growth across the ecosystem. At the BaseCamp event, creator Jesse Pollak revealed that the team has not set timing or mechanics, but they are evaluating options with the community, experts, and regulators and anticipate this process will take time. The shift reflects a product-first roadmap—after achieving sub-second, sub-cent transactions—the team is considering a token as a tool to further advance decentralization on Base and align builders and users. In parallel, **Base released an open-source Solana bridge to deepen cross-chain liquidity**.

Crucially**, Base enters this token conversation with real traction—rising TVL, accelerating transactions per active user, and deeper cross-chain liquidity initiatives.** TVL has rebounded to cycle highs into September and now tracks the latest upswing in activity intensity—transactions accelerate even as daily-active addresses ease, implying rising “transactions per active address”—which we think tends to make TVL stickier because liquidity parks where utility grows (Chart 10, 11). We think recent profit softness likely reflects deliberate fee compression to deliver sub-cent transactions, which strengthens Base’s appeal by enabling high-volume activity at minimal costs.

Chart 10. Base TVL and profit

Chart 11. Transactions on Base are surging

Crypto & Traditional Overview

(Prices as of 4pm EDT, Sep 18 and ETF flows as of 4pm EDT, Sep 17)

Source: Bloomberg and TradingView

Coinbase Exchange & CES Insights

Crypto assets trended higher after the Federal Reserve delivered a 25 basis point cut on Wednesday and signaled two more reductions this year, reinforcing its focus on labor market support. Our desk has seen healthy two-way flow, with some clients adding risk and others opportunistically taking profits. Perpetual future funding rates sit in the mid-single digits for many tokens, indicating that positioning is still neutral despite the recent rally. However, option flow has largely reflected bullish positioning, with BTC call-heavy strategies making up the majority of sophisticated combo trades in the 24 hours after the FOMC meeting.

Trading volumes on Coinbase platform (USD)

Trading volumes on Coinbase platform by asset

Financing Rates

The Week Ahead

For an archive of the weekly market commentary and all our other research reports, please visit our Research Portal.

Weekly Market Call

View replays of our weekly crypto market analyses from our Americas, APAC and EMEA Coinbase Institutional teams.

Watch now

Subscribe

Not subscribed to the Weekly Market Commentary and want to be added to the list?

Subscribe here

Also, please take a look at our Institutional Research portal for an archive of all our research reports.

View Report

relationships with, some of the assets, entities and/or publications discussed or otherwise referenced in the materials. Certain links that may be provided in the materials are provided for convenience and do not imply Coinbase's endorsement, or approval of any third-party websites or their content. Any use, review, retransmission, distribution, or reproduction of these materials, in whole or in part, is strictly prohibited in any form without the express written approval of Coinbase. To the extent you make use of trading services, these may be provided to you by Coinbase, Inc. or Coinbase Luxembourg S.A. ("CB Lux"), subject to applicable law and depending on your location. Coinbase, Inc. is licensed to engage in virtual currency business activity by the New York State Department of Financial Services. Coinbase, Inc., 248 3rd St #434, Oakland, CA 94607. CB Lux is authorised by the Luxembourg Commission de Surveillance du Secteur Financier to provide certain crypto-asset services pursuant to the European Union's 'Markets in Crypto-Assets' regulation.

70 Sir John Rogerson's Quay | Dublin 2 | D02 R296 | Ireland
www.coinbase.com
Get in touch

X (Fc Tw Lin Blc